

prices fell dramatically in March and April 2000, supporting the truth that prices of companies will fall or rise to their true level in time. The prices of shares rose as the crowd had taken over and there was no place then for logic or good sense. As Gustave Le Bon observed in his *Psychologic des Toules*, the crowd acts with a single-minded purpose and not very rationally. According to him, the most striking peculiarity of a crowd is that “whoever be the individuals that compose it, however like or unlike be their mode of life, their occupations, their character of their intelligence, the fact that they have been transformed into a crowd puts them in possession of a sort of collective mind which makes them feel, think, and act in a manner different from that in which each individual of them would feel, think, and act were he in a state of isolation”. Le Bon speaks of the crowd being in a state of hypnotized fascination and the rational investor becoming mindless in the sense that he surrenders his rational thinking mind to the dominant mood of the moment. The crowd in late 1999 and early 2000 everywhere, and in India in 1992 and again in 2006 and 2007, acted on impulse, on expectations and hope and on hearsay fuelled by greed. The index bloated like a balloon and like a balloon it burst. It had to. Unfortunately at times such as these the ones that lose are the small investors who do not have their eye on the market at all times, nor do they have the contacts or wherewithal to know what is likely to happen to the market.

Let us examine what happened in the last two decades in India. In 1992, investors were buying on the flimsiest of reasons believing there was no end to the boom. I remember a person advising me to buy the shares of a certain company. This was at the time not a very well known company. I asked him for some information — what did the company do? Who were its directors? How had it performed in the last three years? He did not know, nor did he care. He had received a tip that the price would double and was passing it on. Another share that must be mentioned was Karnataka Ball Bearings — a company whose share was languishing in the low 20s. Sparked by a rumour that Harshad Mehta was buying the share, its price rose to Rs. 60, then to Rs. 68 and went all the way up to Rs. 180, all in matter of just ten days. It was then heard that the rumour about Harshad Mehta’s interest in the share was false. The share price plunged to Rs. 50 in four days. The original rumour raised its head. The price rose again to Rs. 120. The rumour was again condemned as false and the price fell. At that time I spoke with a person intimately connected with the company. He told